On 13 November 1923, Hjalmar Schacht (formerly the managing director of the Darmstadt and National Bank) was appointed Commissioner for National Currency. Two days later, he stopped the printing of the old devalued Mark and the next day the first Rentenmarks began to emerge. On 20 November, the old Mark was pegged at the new Rentenmark at a trillion to one, and Germany reverted to the gold standard.

The description of how Dr Schacht operated is fascinating. He sat in a single room which had once been used as a charwoman's cupboard, looking on to a backyard in the Ministry of Finance. From this post he transformed the German financial system from chaos to stability in less than a week. His secretary, Fraulein Steffeck, was later asked to describe his work as the commissioner: 'What did he do? He sat on his chair and smoked in his little dark room, which still smelled of old floor cloths. Did he read letters? No, he read no letters. Did he write letters? No, he wrote no letters. He telephoned a great deal – he telephoned in every direction and to every German or foreign place that had anything to do with money and foreign exchange as well as with the Reichsbank and the Finance Minister. And he smoked. We usually went home late, often by the last suburban train, travelling third class. Apart from that, he did nothing.'[26]

The amazing thing was the Weimar Republic still had practically no gold bullion, and the Rentenmark was not redeemable in gold. However, people and debtors had the confidence that issuance would be strictly controlled. Thus, hyperinflation in the Weimar Republic was controlled mainly due to the trust and credibility in the issuing authorities.

Nathan Lewis in his article lays out a great lesson in how demonetization and remonetization can control hyperinflation: 'No preparation was necessary. No staff was necessary. No time was necessary. The only thing that was necessary was a clear policy, namely to maintain the value of the Rentenmark equivalent to a pre-